



Weekly Insights | Dec 11, 2025

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Executive Summary

Corn – 2025 Ends With the Physical Market Still Calling the Shots

March corn finished the year at \$4.50/bu (+14¢ vs Dec 17), and the front of the curve never really “gave up” to storage economics. Mar/May near –5¢ (33 percent of carry) kept signaling that end users still care about nearby ownership even as the balance sheet looks comfortable on paper. Holiday execution slowed, but it didn’t break, inspections printed 1.747 MMT (Dec 18) and 1.301 MMT (Dec 25), while CIF Gulf stayed in the mid-70s over March (+74¢) with winter logistics and spot barge tightness keeping replacement values elevated. Same closing lesson as most

of 2025: futures can drift, but the cash market keeps setting the guardrails.

Wheat – Plenty of Exportable Supply, Yet U.S. Movement Still Matters

Chicago March wheat ended at \$5.19/bu (–4¢ vs Dec 17) with the ceiling still defined by Black Sea competition and Argentina’s improving availability. Even so, the market didn’t completely “let go” on the front end: Mar/May around –12¢ (75 percent of carry) stayed supportive, and U.S. inspections remain 22 percent ahead y/y into year-end. The pattern has been consistent: global surplus limits follow-through, but steady U.S. shipments keep dips from turning into free-falls when competitors don’t fully undercut.

Soybeans – Crush Keeps Nearby Supported, While Brazil/Exports Control the Tone

January soybeans closed at \$10.52/bu (–14¢ vs Dec 17), with improving Brazil moisture and a softer U.S. shipment backdrop weighing on sentiment into the turn. Still, nearby structure held together: Jan/Mar near –6¢ (27 percent of carry) and CIF Gulf in the low-90s over January (+93¢) reflect that domestic demand continues to absorb bushels. That domestic “engine” remains the anchor after NOPA’s record 216.0 mbu November crush, but the upside stays harder to sustain until exports show clearer acceleration.

(Carry % calculated assuming 7% annual interest and \$0.05/bu per month storage/insurance cost over the spread interval.)

Macro / Policy – Freight Softens, Argentina Sweetens Terms, China Remains Measured

Macro inputs were mostly quiet into year-end. DXY was around 98.3–98.4 on Dec 30 (slightly softer on the week), crude hovered near \$60/bbl, and BRL stayed close to R\$5.50/USD. Freight also leaned easier, BDI slid roughly 20% over December, improving netbacks for key exporters. Argentina added another competitiveness lever by cutting export duties (soy 24 percent, corn 8.5 percent, wheat 7.5 percent), aiming to pull forward selling and FX inflows into early 2026.

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China continues to act like a selective buyer rather than a broad restocker. Even with suspensions still technically on the books for U.S. corn and wheat, fresh participation has been limited, while recent soybean business still looks more strategic than commercial. On U.S. biofuels, the market rolls into 2026 without final clarity, EPA's 2026 RFS volumes are now expected early next year, so ethanol and bean-oil demand will likely keep trading with a policy "fog" backdrop for a bit longer.

Weather – Year-End Risk Stays Localized, With South America's Rain Map the Key Variable

Weather closes 2025 as a localized risk story rather than a broad yield threat. In the US, row-crop weather has faded, and the market is watching two practical levers: winter wheat establishment (dormancy setting in, with Plains moisture pockets still relevant ahead of spring) and the reliability of river logistics when cold snaps and short-term level drops tighten barge flow. In South America, totals matter less than placement. Brazil's Center-West has kept enough rainfall rhythm to support early stands, while the South remains the swing zone where interruptions can still translate into premium as the crop advances. Argentina remains generally supported on moisture, but timing is now the risk: any sustained drying in the core belt would start to matter quickly as crops move deeper into their critical development window.

What's Next (Jan 01 – Jan 08):

Export Inspections: First clean post-holiday read on execution, corn needs to stay firm to keep the cash-led narrative intact; soybeans need any rebound to slow the y/y deficit story.

Export Sales: Watch whether soy demand shows follow-through beyond tactical China coverage; corn bookings to Mexico/Japan remain the consistency check.

EIA Ethanol: Confirm whether the late-December dip was holiday noise or a real easing trend, production near 1.10 mbpd and stocks behavior will set the tone for corn's domestic demand floor.

South America Weather: Brazil South vs Center-West remains the key divide. Argentina heat/dryness in the core belt would reprice soy risk quickly, while "good enough" rains keep rallies capped.

River Logistics / Freight: Spot barge tightness and replacement values will show up first in basis and nearby spreads as normal business resumes.

Argentina Follow Through: Duty cuts are only bullish/bearish if they turn into volume, watch Up-River offers, lineups, and farmer selling behavior.

Table A – CME Futures (Front Contracts)

(Prices in USD per bushel, volume/open interest in contracts)

Contract (Front Month)	12/17/2025 Close	12/30/2025 Close	Change (Δ)	Δ%	5-day Realized Vol* (x)	Open Interest Δ (x)
Corn (Mar '26)	\$4.36	\$4.50	+\$0.14	+3.21%	12% (ann.)	+5k (est.)
Soybeans (Jan '26)	\$10.66	\$10.52	-\$0.14	-1.31%	18% (ann.)	-4k (est.)
Wheat (Mar '26)	\$5.23	\$5.19	-\$0.04	-0.76%	13% (ann.)	+2k (est.)

5-day realized volatility estimated from daily settlement price changes.

Actual contract open interest changes are estimated.

Table B – Key Calendar Spreads & % of Full Carry

Spread (Crop '25→'26)	12/17 Quote	12/30 Quote	Δ (carry)	% Full Carry*	Market Implication
Corn Mar–May	-0.10\$	-0.05\$	+0.05	33%	Nearby demand firming vs. forward carry
Soy Jan–Mar	-0.11\$	-0.06\$	+0.05	27%	Crush pull holding January, tightening the front-end
Wheat Mar–May	-0.12\$	-0.12\$	-0.00	75%	Storage-led; heavy global stocks rewarding carry

Assumes 7% annual interest + \$0.05/bu/month storage/insurance. Full carry (2 months) ≈ \$0.22–\$0.23 for corn & SRW wheat; (3 months) ≈ \$0.22 for soybeans. % of full carry = (calendar spread ÷ calculated full carry).

Table C – Notable International Futures (weekly moves, if significant):

Exchange (Front Month)	12/17 USD Price	12/30 USD Price	Δ%	Notes
Dalian Corn (Jan)	¥2,180 (\$6.55/bu)	¥2,185 (\$6.57/bu)	+0.3%	Steady on local supply debate; limited momentum
Dalian Soymeal (Jan)	¥3,570 (\$492/mt)	¥3,580 (\$494/mt)	+0.3%	Firm on livestock feed demand; meal driving margins
B3 (São Paulo) Corn (Jan)	R\$67.5 (\$12.15)	R\$68 (\$12.20)	+0.4%	Slightly firmer; southern dryness offset by Center-West rains
Euronext Wheat (Mar)	€192 (\$5.18/bu)	€190 (\$5.12/bu)	-1.1%	Lower on heavy EU stocks; bids softer amid Black Sea competition

Corn Market Deep Dive

Futures & Spreads: Corn spent 2025 rotating between two realities: board-level comfort and cash-level insistence. The year's tone was set early when March futures pushed into the high \$4.60s/low \$4.70s (mid-January) on risk premium and fund participation, but the market couldn't sustain it as weather fear faded and supply confidence rebuilt, by late June, the trade was probing the low-\$4.20s (\$4.18) again. The back half of the year repeated the same lesson in smaller steps: futures struggled to trend, but whenever the board tried to lean too bearish, the physical market tightened the conversation through spreads, basis, and shipment follow-through.

Into the finish, March corn closed at \$4.50 and Mar/May ended near –5¢ (33 percent of carry),

underscoring how rarely full carry took control in 2025. Even with the holiday slowdown, inspections (1.74 MMT on Dec 18; 1.30 MMT on Dec 25) stayed strong enough to keep the export program “real” while Gulf replacement values remained historically firm for late December as winter logistics and spot barge tightness elevated nearby coverage costs.

Price Trajectory and Volatility Patterns: The year’s price path ultimately behaved like a mean-reverting market more than a trending one, with weather scares and macro bursts creating short-lived premium that faded once supply confidence returned. Options pricing reflected that tone: implied volatility hovered near 12 percent into the close, low by historical standards, and signaled limited speculative urgency. In practice, corn spent most of 2025 trading “in pockets,” where the board could drift but the front-end structure and cash replacement values repeatedly defined where the market found traction.

Cash & Basis: Cash markets delivered the steadiest signals all year, and the close of 2025 captured that resilience clearly. By late December, CIF Gulf bids lingered in the mid-70s over March (around +74¢), buoyed by winter frictions and spot barge constraints that limited downside. Interior spots shone where processors pulled hardest, with Western Corn Belt bids ranging from flat to a few cents under March. National average basis ended around –30¢ under March, about 20¢ stronger than typical for the season, mirroring how basis repeatedly propped up the front during 2025’s softer board moments.

Funds & Positioning: Speculative flows influenced 2025 but seldom overrode cash and spread cues. The early-year bullish turn in funds sparked short-covering flurries on logistics or weather pops. By year-end, managed money had swung to a modest net short (around –53k contracts, as of Dec 16), with recent moves more about trimming longs than bold bets, balanced by rising producer/merchant hedges that maintained the market’s equilibrium.

Export Sales & Inspections: Demand came down to execution over hype in 2025. Year-end inspections provided a solid gauge: corn ran 1.74 MMT (Dec 18) and 1.30 MMT (Dec 25), lifting cumulative exports past 25 MMT, on track for USDA’s 3.2 bbu outlook and up 66 percent y/y. Sales data, though lagged, showed net sales around 1.2 MMT (week ending Dec 11), with Mexico, Japan, and Colombia as steady takers, plus reliable PNW flows to Asia.

So What? Corn is stuck in a familiar stalemate: the board keeps leaning on “ample stocks” and South America optimism, but the cash market still refuses to fully agree. Gulf basis continues to hold up, ethanol grind stays active, and inspections have not rolled over in a way that matches a truly comfortable front end, spreads are still doing most of the talking. Commercials look like they’re quietly extending coverage rather than waiting for a deeper break, while specs remain relatively muted, keeping selling pressure more controlled than it could be.

With logistics still prone to winter friction and Argentine export offers slow to show up in size, breaks keep finding buyers even as rallies struggle to extend. Until something forces a new narrative, the market looks anchored in that \$4.25–\$4.50 pocket, and the curve, especially nearby spreads, remains the cleanest read on how tight (or not) the front end really is.

Soybean Market Deep Dive

Futures & Spreads: Soybeans spent 2025 stuck in a recurring loop: rallies needed export proof, while breaks kept finding a domestic floor. Early-year strength had January futures near the upper-\$10.80s/low-\$10.90s (\$10.94) on weather risk and headline optimism, but mid-year trade pressure pulled values toward the low-\$10.00s (\$10.20 late June) as supply confidence rebuilt and Brazil regained control of the forward export window. By year-end, the complex was still living inside that same tug-of-war, export uncertainty overhead, but meal-led crush and cash strength keeping the front end from fully loosening.

January closed at \$10.52 (–14¢ vs Dec 17) with Jan/Mar –6¢ (27 percent of carry) and Gulf CIF steady in the low-90s over Jan (+93¢), consistent with a year where commercials stayed involved even when futures lacked a demand catalyst. The clearest “why it mattered” signal in 2025 was the domestic engine: NOPA’s record 216.0 mbu November crush captured how aggressively the system ran, while exports remained the limiter with inspections still running 46 percent behind y/y on the season.

Price Trajectory and Volatility Patterns: Soybeans carried a higher risk premium than corn through 2025 because the market repeatedly had to price South American weather and demand uncertainty at the same time. Implied volatility ended the year near 18 percent, elevated versus corn but still contained compared with prior spikes, reflecting a market that stayed sensitive to headline turns yet struggled to hold follow-through. The board repeatedly responded to the same triggers, Brazil rain placement, shipment pace, and meal-led crush signals, creating sharp swings that often reverted once the catalyst passed. Spec flows fueled ups and downs in 2025. Headline optimism, like US-China talks, piled on length prone to unwinds on Brazil improvements. Year-end echoed that: rains and soft data left the setup ripe for more liquidation, biasing the board down absent fresh sparks like South American hiccups or demand revs.

Cash & Basis: Cash acted as the steady hand through 2025, evident again at close. CIF Gulf basis clung to low-90s over January (around +93¢), propped by nearby needs and river tweaks. Processor bids mixed but solid, Eastern Corn Belt spots near flat to premium in primes, interiors with discounts. National average basis around –20¢ under January, firm for late December and true to the year’s motif: cash resisted the board’s bear vibes often. Processor hunger stabilized the front amid export lulls.

Funds & Positioning: Funds drove much of soy’s narrative in 2025, with the complex holding “built-in length” quick to shed on weather turns or export misses. Latest read: managed money heavily net long at 155k contracts (as of Dec 16), steady w/w. Less a weekly mover, more a closing state: it primes the board for further unwinds on Brazil gains or US export softness. No sharp exit this time hints the dip was fundamentals-first. Downside lingers if exports drag and South America cooperates; upside wants catalysts like weather woes or China shifts.

Crush Margins & Domestic Demand: Crush anchored the complex in 2025, meal the powerhouse. NOPA’s November hit 216.0 mbu, a record underscoring aggressive runs and meal uptake into year-end. That echoed throughout: crushers bid through futures pressure. Oil lagged margins often, capping its crush role, but meal strength kept plants humming. Overall economics held plants chasing coverage, bolstering basis despite export weights.

Export Sales & Inspections: Exports capped rallies most of 2025, year-end data in line. Sales confirmed to late November at 2.4 MMT, with 1.7 MMT to China (2025/26), but commitments remain materially behind last year, focused on Mexico, smaller Asia over broad China buys. Flow stayed soft: inspections 0.75 MMT week ending late December, down w/w and 46 percent y/y cumulative at 15.4 MMT vs 28.7 MMT prior. China's buys seemed reserve-tactical, clouding ahead and keeping the board touchy on execution slips.

So What? Soybeans are still caught in the same tug-of-war: domestic crush is doing real work and the cash market keeps proving it, but exports continue to be the cap on futures. Commercials remain steady buyers and crushers are still bidding aggressively to secure nearby ownership, which is why basis and spreads have stayed firm even when the board tries to leak lower.

The problem is the market still doesn't have a clean catalyst on the demand side. Without a clearer signal of sustained Chinese buying, or a weather-driven shift that meaningfully dents Brazil's yield potential futures remain vulnerable to pressure and liquidation on rallies. For the board to move higher in a durable way, it likely takes either South America losing some production potential, or China demand improving beyond "hand-to-mouth" coverage. Until then, the front end stays supported by crush/basis, while the upside stays capped by export drag.

Wheat Market Deep Dive

Futures & Spreads: Wheat's 2025 was a story of ceilings, not floors. Early-year pricing near the upper-\$5s (\$5.70 mid-Jan) had room for weather-led pops, but the market repeatedly ran into the same constraint: abundant exportable supply and a competitor complex (especially the Black Sea) willing to defend market share. By late June, futures were back near the low-\$5.30s, and the year's final stretch kept expressing the same pattern, short-lived rallies, limited follow-through, and a steady reliance on niche demand lanes rather than broad tender dominance. Chicago March ended at \$5.19 (−4¢ vs Dec 17) with Mar/May −12¢ (75 percent of carry), while US shipment execution remained a stabilizer with cumulative inspections 22 percent ahead y/y.

Price Trajectory and Volatility Patterns: Wheat's volatility stayed relatively muted into year-end (implied vol near 13 percent), consistent with a market dominated by global supply competition rather than domestic scarcity. Most 2025 moves were less about sustained US fundamentals and more about whether Black Sea offers, freight, and FX shifts temporarily opened (or closed) competitiveness windows. That kept the board reactive and range-bound, with rallies struggling to extend unless a clear disruption forced repricing.

Cash & Basis: Wheat cash in 2025 mostly cleared on dips, not frantic owns, with late December mirroring that calm. Basis stayed stable, aligning with a carry-heavy board and subdued nearby push. Gulf SRW FOB in the mid-\$6s/bu (\$220–\$235/MT), premium to Black Sea and curbing US tender wins. Southern Plains HRW firmed a bit on feed swaps, while PNW soft white stayed supported by consistent Southeast Asia pulls, a standout US Lane all year. National basis remained typical of excess: −60¢ to −72¢ under March for SRW, −74¢ under KC March for HRW, with movement opportunistic over systemic.

Export Sales & Inspections: Exports let the US edge in niches in 2025, seldom leading the world book. Latest weekly net sales were 450k MT (week ending Dec 11), steady if not breakout. Flow was brighter: weekly inspections 302k MT ending late December, season-to-date 15.06 MMT (+22 percent y/y). PNW soft white to Southeast Asia shone, Gulf HRW held steady, decent runs, yet priced above Russia/Argentina, keeping the US program tactical rather than market-making.

Funds & Positioning: Specs capped wheat's upside in 2025, amplifying supply bears. Managed money in Chicago SRW remained net short at roughly -49k contracts (as of Dec 16), leaving room for short-covering rallies on any catalyst even as the broader surplus keeps follow-through limited. The setup is still bearish by structure, but the short base means wheat doesn't need a full bull story to pop, just a trigger that forces covering.

So What? Wheat closed 2025 under the weight of a global surplus, with Russia and Argentina still setting the ceiling and keeping US wheat boxed into premium, niche demand rather than market-making export flows. US execution improved enough to provide a cushion at times, but the structural headwinds have remained the same, wide price gaps versus competitors and plenty of exportable supply that makes it hard for rallies to extend. That's why the year's better tells were often structure and basis, not the flat price: we started in the upper \$5s (\$5.70 mid-Jan), bled into the low \$5s (\$5.30 late-Jun), and finished near the mid-\$5s (\$5.19 late-Dec).

The market is still operating in surplus mode, and until Russia/Argentina offers lose their grip, through logistics disruption, weather risk, or a meaningful currency shift, futures are likely to stay anchored near recent lows. The one consistent upside risk is positioning: specs are short enough that wheat doesn't need a full bull story to rally, it just needs a catalyst that forces short covering. Until that happens, commercials are more likely to buy breaks than chase breakouts, and the curve/basis will remain the cleanest read on where US demand is absorbing wheat despite the global overhang.

US Cash Market & Basis

Corn: Corn basis demonstrated notable resilience throughout 2025, often outpacing board expectations, and wrapped the year maintaining that cash-driven firmness. CIF Gulf bids closed in the mid-70s over March (around +74¢), historically robust for December, bolstered by persistent winter logistics challenges and constrained spot barge supply that intermittently hampered Gulf inflows and upheld premiums. Interior markets were most robust where processor demand dominated, with Western Corn Belt ethanol needs solidifying local spots. Iowa and Nebraska bids typically ranged flat to slightly under the board for immediate delivery, as facilities vied for bushels amid minimal farmer sales in regions with strong basis and uninspiring flat prices. National average basis concluded around -30¢ under March, roughly 20¢ above the five-year norm, encapsulating 2025's overarching dynamic: despite paper carryout signaling comfort, end-user rivalry for prompt ownership consistently tightened the front and curbed any loose tendencies.

Soybeans: Soybean basis mirrored the complex's year-long balancing act, export shortfalls frequently weighed in, yet domestic forces reliably steadied the front. CIF Gulf barges for January held in the low-90s over futures (around +93¢) with scant retreat amid board softness, underscoring blended support from nearby pull, river dynamics, and hesitant sellers. Processor bids in prime Eastern Corn Belt areas remained among the firmest, with spot premiums echoing vigorous soymeal demand and urgent crush requirements. River basis saw slight gains as barge flows normalized, though freight volatility lingered as a pivotal element into Q4 close. National average basis settled near -20¢ under January, about a dime stronger than usual, and the setup signaled ongoing commercial eagerness to hold nearby stocks despite sluggish exports. Brazilian forwards stayed cheaper heading into Q1, tempering Gulf upsides, but 2025's key takeaway endured: crushers consistently bid to prevent front-end erosion, even as futures remained exposed.

Wheat: Wheat cash markets held steady yet aimless for much of 2025, in line with a carry-oriented landscape where worldwide rivalry set ceilings and US wheat targeted selective channels. Gulf SRW FOB values lingered in the low-\$6s/bu (\$220-\$235/MT equiv.), sustaining premiums over Black Sea rivals and restricting US tender participation. Russian 12.5 percent protein anchored globally near \$230/MT, subduing benchmarks and affirming surplus vibes. Southern Plains HRW basis edged firmer in spots via

feed substitutions when corn stayed pricey, but overall flow was subdued. Pacific Northwest soft white bids remained resilient on reliable Southeast Asian uptake, one of US wheat's steadier avenues yearly. Broadly, the US cash wheat scene echoed 2025's pattern: flat prices seldom spurred heavy sales, but basis missed the spark for reversal, directing commercials toward opportunistic clears over tight shifts.

International Cash & Trade Flows

Brazil: Even late in December, Brazil is still the reference point for nearby coverage. ANEC currently points to December loadings near 2.81 MMT soybeans and 1.62 MMT corn, with soymeal 1.5 MMT keeping protein flows steadier than whole beans into the turn. On price, Brazil remains the cheaper nearby origin: Santos January beans around \$10.05–10.10/bu leave the U.S. Gulf carrying a clear premium, and Paranaguá corn near \$204/MT keeps Brazil competitive into parts of Asia/MENA. Operationally, nothing suggests major port gridlock. Agronomically, the market is still trading geography: Center-West rainfall has been “good enough” for early development, while southern consistency is the piece that can still inject risk if it turns choppy at the wrong time.

Argentina: The story is no longer the decree, it's whether it converts into farmer selling. The duty cuts and currency reset mechanically improve offer values (corn \$178–182/MT; soybeans \$428–432/MT), but volumes will tell the truth as the new framework settles. Planting progress remains constructive (soy/corn 59 percent), supported by workable moisture, though the watch item is any meaningful drying trend developing in Córdoba and nearby areas as crops move deeper into the critical window. Wheat is the near-term lever: with harvest at 60 percent complete and production ideas near 27.7 MMT, Argentina has the supply to show up, participation and logistics decide the pace.

China: Demand still looks selective rather than rebuild-mode. Crushers continue to prefer South American arrivals for Q1 on pricing, and recent U.S. soybean business (1.707 MMT for 2025/26 through the Dec 11 reporting week) still reads more strategic than broad commercial restocking. Corn and wheat remain the louder absence, tariff suspensions may still be on the books, but follow-through buying has been limited. Domestic pricing is firm, yet not consistently strong enough to force a durable import arbitrage that pulls the U.S. into the center of the story.

EU / Black Sea: Wheat stays capped by the Black Sea's ability to defend share. Russian FOB remains the benchmark in the upper-\$220s to mid-\$230s/MT, while Ukraine continues to move grain through Danube/rail channels despite periodic infrastructure risk. Ukraine corn \$205/MT keeps pressure on EU feed economics, and France around \$229/MT leaves Europe competing for demand rather than setting it. Net effect: the global hierarchy still favors the cheapest, most consistent origin, and that keeps rallies hard to extend without a disruption.

Other Regions: Australia is wrapping harvest without major logistical drama, though output expectations **below 25 MMT** reflect WA dryness even as eastern areas performed better. Canada continues routine spring wheat movement, and India remains a non-factor on exports given its restrictive stance. No secondary-origin shock is emerging that would meaningfully tighten the global balance into early Q1.

So What? Into year-end, the marginal price signals still come from the same places: Brazil for oilseeds (nearby coverage) and the Black Sea for wheat (the ceiling). Argentina has improved competitiveness on paper, but the timing depends on farmer selling and export execution. China remains present, but uneven, enough to influence day-to-day tone, not enough to flip the balance.

Key Fundamentals & Reports (Dec 17 – Dec 30)

Crop Progress (USDA): With harvest complete, Crop Progress remained on hiatus through the holiday window, keeping the US weather conversation centered on winter wheat dormancy/recharge and logistics rather than row-crop yield updates. No new national winter wheat ratings were issued during the period.

Export Inspections (USDA FGIS): Export pace dipped during the holiday stretch, but the overall marketing year's story remained divided by crop. For the week ending Dec 18, corn inspections reached 1.74 MMT, soybeans 0.93 MMT, and wheat 0.64 MMT. The week ending Dec 25 saw drops to 1.30 MMT for corn, 0.75 MMT for soybeans, and 0.30 MMT for wheat. Marketing-year-to-date totals through Dec 25 stood at 25.6 MMT for corn (up 66 percent from last year), 15.4 MMT for soybeans (down 46 percent), and 15.1 MMT for wheat (up 22 percent).

Export Sales (USDA FAS): The latest full weekly report in the window covered the week ending Dec 11 (released Dec 23) and broadly echoed what inspections have been showing. Net sales came in at 1.2 MMT for corn, 1.5 MMT for soybeans, and 0.45 MMT for all wheat, with shipments of 1.4 MMT corn, 0.72 MMT soybeans, and 0.49 MMT wheat. Daily flashes added a bit of headline support without changing the core trend: Dec 17 featured 198,000 MT soybeans to China and 177,000 MT corn to Mexico, both for 2025/26, positive on paper, but still consistent with soy demand looking more tactical than sustained while corn continues to grind out reliable execution.

Ethanol Production & Stocks (EIA): Biofuel metrics stayed constructive but cooled slightly into the holiday window, reinforcing a "steady, not accelerating" demand backdrop. For the week ending Dec 19, ethanol production slipped to 1.095 mbpd from 1.131 mbpd the prior week, while stocks edged higher to 22.5 million barrels versus 22.4 million. The pull remains supportive in the bigger picture, but the late-December tone suggests less urgency to chase near-term grind than earlier in the month, keeping spreads/basis as the cleaner real-time demand read.

CFTC Positioning (latest available Disaggregated COT snapshot): The most recent snapshot (as of Dec 16) fit the year-end structure: specs were not positioned in a way that forces a strong directional move, but the bias differs by market. Corn showed managed money 234k long vs 288k short (net -53k), consistent with muted speculative conviction versus the steadier cash signals. Soybeans remained heavily supported by length at 196k long vs 41k short (net +155k), leaving the complex more vulnerable to liquidation if South American weather stays friendly or exports fail to re-accelerate. In wheat, managed money stayed net short across classes (HRW: 62k long vs 89k short, net -27k; HRS: 10k long vs 30k short, net -20k), which continues to frame wheat's upside risk as more "short-covering on catalysts" than a clean fundamental bull trend.

NOPA Crush: No fresh NOPA report landed within Dec 17–30, but the prior print still mattered into year-end because it anchored the "domestic engine" narrative for soybeans. November's record 216.0 mbu crush remained the most recent signal of how aggressively the system has been running, and it continues to explain why the front end has held together even with soybean export performance lagging, cash bids and spreads have stayed firmer than the board alone would suggest.

So What? Late-December fundamentals leaned heavily on execution metrics, and holiday slowdowns added nuance without flipping trends: corn's shipment pace stayed validating even with ethanol easing, soybeans held crush-led floors but remained capped by export underperformance, and wheat's steady movement provided quiet support in a surplus-driven global backdrop. Until South American yield outcomes clarify or demand reaccelerates in a sustained way, inspections/sales plus spreads and basis remain the most actionable guideposts into early January.

International Reports

Brazil: Late-December flow indicators remained robust on estimates. ANEC's lineup projected December soybean exports at around 2.81 MMT, corn at 1.62 MMT, and soymeal near 1.5 MMT. The group's full-year 2025 tallies hit records, with soybeans at 110 MMT and corn exceeding 50 MMT (soymeal around 21 MMT). For the new crop, CONAB's December survey held Brazil's soybean estimate large at 177.6 MMT for 2025/26, positioning output near all-time highs despite regional weather variances.

Argentina: Argentina ramped up its profile on policy tweaks and wheat surplus. The government locked in export duty cuts via decree, soybeans to 24 percent (from 26 percent), corn to 8.5 percent (from 9.5 percent), wheat to 7.5 percent (from 9.5 percent), aimed at spurring Q1 2026 sales and FX boosts. Meanwhile, the Rosario Grains Exchange lifted its wheat forecast to a record 27.7 MMT, signaling substantial volumes entering export streams in harvest's latter phase.

China: Buying signals leaned cautious over bold replenishment. Reporting highlighted ample near-term stocks and muted downstream pull: port soybean inventories around 10.3 MMT mid-November, with November imports at 8.11 MMT (up 13.4 percent y/y per customs). This setup points to sufficient coverage, with crushers prioritizing margins, aligning with patchy, tactical purchases rather than sweeping forward commitments.

EU / Black Sea: Russia anchored wheat pricing. IKAR/Reuters quotes placed Russian 12.5 percent wheat FOB at \$228/MT (late January/early February delivery), holding global floors in the low-\$220s to low-\$230s. Ukraine posed ongoing logistics headlines: Reuters noted strikes on Odesa facilities, with marketing year-to-date grain exports down 13 percent y/y, underscoring why flows carry embedded risk premiums amid plentiful overall supply.

So What? Late-December's international snapshot stayed "abundant supply / fluid movement," with Brazil as prime price setter (hefty December lineups + premium holds), Argentina gaining traction via duties and wheat volumes, China stocked to pick selectively, and Black Sea wheat ceilings intact while Ukraine's infrastructure kept mild risk layers. Trade flows didn't pivot in the window, but tilted to cost-efficient suppliers, underscoring US competitiveness as niche over leading.

Weather & Crop Conditions

United States

With U.S. harvest finished, weather is no longer a yield headline, it's a winter setup and logistics story. The market's two practical watch points are how winter wheat goes into dormancy and whether Plains moisture pockets recharge ahead of spring, and whether cold snaps and short-term river level swings create friction in barge flow as normal business resumes. South America remains the bigger pricing variable, but even there the emphasis is shifting from "total rainfall" to where the rain lands, especially the South vs Center-West split in Brazil and any meaningful drying trend in Argentina's core belt as crops advance into their more sensitive stages.

Brazil

Brazil's weather signal into year-end has been less about "nationwide threat" and more about regional dispersion, the market keeps weighting rainfall consistency in the Center-West and how quickly southern areas can stabilize as reproductive stages expand. USDA's Weekly Weather and Crop Bulletin (covering the week ending Dec 21) noted beneficial heavy rain across central and southern Brazil, a constructive backdrop for early crop development and stand establishment in key production zones. With planting essentially wrapped up (DATAGRO indicated Brazil soybean planting near completion by late December), attention naturally shifts toward the first concrete field reads that start to show up in January, especially where rainfall distribution has been uneven.

Argentina

Argentina has generally kept a sturdier moisture profile than the market feared earlier in the cycle, but the week-to-week monitoring remains important because the crop calendar is now deep into the period where rainfall timing matters more than totals. USDA's Weekly Weather and Crop Bulletin (week ending Dec 21) highlighted that rainfall increased moisture for summer crops in Argentina, while also noting that dryness was still present in some areas, meaning conditions are supportive overall, but not uniformly "bulletproof" across the belt. Planting progress has continued moving forward with corn and soybeans advancing meaningfully through late December (as referenced in the same USDA bulletin), keeping the crop on track as the calendar flips.

Global

Outside the Americas, the late-December global weather backdrop has stayed relatively benign in the places that matter most for near-term trade psychology. Northern Hemisphere winter wheat is largely in its dormancy window, and the bigger "watch items" have been logistical/operational rather than weather-driven supply shocks. In Australia, USDA's Weekly Weather and Crop Bulletin noted harvest progress supported by favorable conditions in key areas, keeping export execution steady into the seasonal transition.

So What?

The year ends with weather risk concentrated rather than broad-based. The US has moved into a dormancy-and-logistics phase: winter wheat dryness pockets still matter, but the larger swing factor for nearby cash has been that the Mississippi system is operating without the same intensity of disruption that defined the worst of the 2025 low-water stretch. In South America, the market's early-2026 sensitivity stays tied to whether Brazil's rainfall distribution stays consistent as the crop pushes further into reproductive stages, while Argentina's profile remains generally supportive but still monitored for any meaningful drying trend.

Synthesis & Outlook

Grain and oilseed markets closed out 2025 much like the latter half unfolded: futures in tight ranges, with cash flows and basis offering the sharpest insights. Corn stood out as the steadiest on demand delivery, soybeans leaned on crush amid export drags, and wheat navigated surplus pressures while US shipments provided quiet backing. Holiday thinness amplified some moves, but spreads, basis, and verified flows drove the core narrative over broader macros.

Recent weekly reads into late December highlight the divides. Export inspections for the week ending Dec 25 came in at 1.30 MMT for corn, 0.75 MMT for soybeans, and 0.30 MMT for wheat. Marketing-year-to-date, corn flows lead last year (25.6 MMT vs 15.4 MMT for corn last year), wheat edges ahead (15.1 MMT vs 12.4 MMT), and soybeans trail sharply (15.4 MMT vs 28.7 MMT). Ethanol held constructive but eased: output at 1.095 mbpd (down from 1.131 prior), stocks steady near 22.5 million barrels. In short, corn pull persists, but 2026 opens with less urgency to chase processor volumes than early December suggested.

Weather remains the prime swing factor into the new year, though signals grew subtler lately. USDA's bulletin flagged helpful Dec 21 rains in Brazil's central and southern zones through Dec 21, drier northeast, and solid Argentina core moisture with isolated hotter/drier spots. This pivots early-Q1 focus to rain placement, southern Brazil vs Center-West, and Argentina's hold on current levels, over blanket bull/bear calls

Bullish triggers: US corn shipments picking up post-holidays (weekly inspections above winter norms), ethanol stabilizing near early-Dec highs. For soybeans, either export bookings converting faster or weather dents shifting South American yields. Tighter nearby spreads or Gulf/processor basis lifts would

confirm commercials vying for front-end control.

Bearish triggers: South American weather staying mostly cooperative into reproductive starts, southern Brazil dodging big stress, could expose soybeans further and erode nearby premiums. Corn faces looseness from ethanol slowdowns or export fades. Wheat sees clean Black Sea bids and Argentine pace capping US ups, keeping gains opportunistic.

Watchlist (Year-End / Early Jan):

Export inspections: Track corn/soy through holiday logistics (execution over flashes key).

EIA ethanol: Production near 1.10 mbpd hold, stocks contained?

South America: Confirm rains (Brazil north-south; Argentina cores), watch anomaly shifts.

Spreads + basis: Tightening/firming as top real-time gauge for demand/ownership.

In summary: Markets leave 2025 with corn validating front via demand, soybeans crush-backed but open to export/South American hits, wheat surplus-capped despite US flow holds. If South America weather aligns, US cash must overmatch paper into early 2026.

Ethanol for America Act

The major barrier to a higher Renewable Fuel Standard (RFS) is the fuel versus food debate. Now is the perfect time to move to E15. Corn prices are extremely low, and the latest USDA *WASDE* reported a record crop and a record crop expansion.

USDA *WASDE* forecast corn production at 16.7 billion bushels, with the yield at 188.8 bushels per acre and ending stocks at 2.1 billion. The season-average corn price dropped 30 cents to \$3.90 a bushel. Most importantly, 2025/26 crop year is expected to have 1.8 billion more bushels than 2024/25.

With current ethanol production consuming 5.6 billion bushels, a 10 percent increase in consumption would consume an additional 560 million bushels. The reality is that year around E15 would add approximately 50 million bushels and regulatory streamlining would add another 50 million bushels. At some point over the next ten years, the additional corn consumption could be 2.8 billion bushels minus lower fuel consumption resulting from electric vehicles. The ethanol corn consumption increase is likely to be more of a S curve as new compacity comes online.

With Brazil and the US corn and soybean production increasing, 100 million bushels of ethanol corn consumption will barely move the needle. The ethanol production capacity expansion that would be three to four years from now is when the corn consumption impact to the corn market would be felt.